

Excelsoft Technologies Ltd

NSE: EXCELSOFT | BSE: 544617 | Sector: IT / EdTech SaaS | Sub-sector: Ed-Tech & Online Assessment

Global Vertical SaaS Leader in Digital Learning & Online Assessment

12-Month Target	Rs. 115
Upside from CMP	+25%
Investment Horizon	12-18 Months

CMP (Rs.)	91.8	Market Cap (Rs. Cr.)
52W High (Rs.)	143	52W Low (Rs.)
P/E (TTM)	27.7	P/B
Book Value (Rs.)	33.7	Face Value (Rs.)
ROCE	16.4%	ROE
Promoter Holding	59.08%	Div Yield
FII	1.37%	DII

INVESTMENT THESIS: Niche EdTech SaaS with deep Pearson moat, debt-free balance sheet and 20%+ revenue CAGR potential — but single-client concentration demands vigilance.

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue (Rs. Cr)	195	198	233	265	315
EBITDA (Rs. Cr)	68	55	73	80	98
EBITDA Margin	35%	28%	31%	30%	31%
PAT (Rs. Cr)	22	13	35	38	51
EPS (Rs.)	N/A	N/A	3.47	3.80	5.10
P/E (x)	N/A	N/A	26.5	24.2	18.0
ROCE (%)	11%	7%	16%	17%	20%

Source: Screener.in | View: Consolidated | FY26E-FY27E are Chartitude Research estimates

SECTION 2 — INVESTMENT THESIS

REASON 1: Sticky Global SaaS Platform with Moated Revenue Base

Excelsoft's 25-year-old platform — serving 76 global clients including the Pearson Group — is embedded in customer workflows across online assessment, proctoring, LMS, and content delivery. The multi-year contract structure creates highly predictable, recurring SaaS revenue. The company's publishing and certification/testing verticals together account for 78% of revenue, and switching costs for large assessment publishers are extremely high. By FY27, we expect this stickiness to drive 15-18% organic revenue growth per annum as clients expand seat counts and adopt AI-augmented modules.

REASON 2: Rapid Debt Elimination Opens Balance Sheet for Growth Optionality

Borrowings declined dramatically from Rs. 121 Cr in FY23 to Rs. 35 Cr in FY25 — a 71% reduction — driven by strong operating cash flows and asset monetisation. The company is now effectively debt-free relative to its equity base (D/E of ~0.09x), which dramatically reduces financial risk and frees interest savings to flow directly to PAT. Interest charges fell from Rs. 14 Cr in FY23 to just Rs. 5 Cr in FY25, and we expect near-zero interest burden by FY27E. This creates a powerful earnings upgrade cycle even without topline acceleration, with PAT CAGR of 21% over FY25-FY27E.

REASON 3: AI-Led Product Differentiation Expanding Addressable Market

Management has articulated a clear strategy to embed AI at the network edge — including AI-enabled hardware, intelligent proctoring with real-time cheating detection, and adaptive learning engines. The global online assessment market is expected to grow at ~15% CAGR through 2030. Excelsoft is uniquely positioned at the intersection of SaaS, AI, and institutional EdTech, a combination that larger EdTech pure-plays lack. New contract wins in international markets (61.97% of revenue in USD) provide a natural INR depreciation hedge.

NEAR-TERM CATALYST (6-12M)

Q4FY26 results (May 2026): 9M FY26 revenue already up 17.1% YoY; strong Q4 could trigger first meaningful analyst coverage and re-rating.

KEY STRUCTURAL RISK

Pearson Group contributes ~59% of revenue; any contract renegotiation, scope reduction, or in-sourcing by Pearson would materially impair earnings.

SECTION 3 — BUSINESS OVERVIEW

Incorporated in 2000 and headquartered in Mysuru (India), Excelsoft Technologies Ltd is a vertical SaaS company focused entirely on the digital learning, online assessment, and education technology ecosystem. The company builds and delivers cloud-based platforms for schools, universities, certification bodies, corporations, and government training agencies globally. Its product suite spans Learning Management Systems (LMS), online testing and AI-powered proctoring tools, digital content platforms, and analytics engines.

Revenue is segmented into four verticals: (1) Educational Technology Services — the largest at 51.46% of revenue in Q1FY26, covering managed services for assessment delivery; (2) Assessment and Proctoring Solutions at 31.5%, which covers the core SaaS platform including AI-based remote proctoring; (3) Learning and Student Success Systems at 11.27%, the LMS-focused business; and (4) Learning Design and Content Services at 5.75%, a professional services arm. By client vertical, publishing houses and certification/testing agencies together account for 78% of revenue, with the Pearson Group being the single largest client at approximately 59% of total revenue.

The company is a material exporter — 61.97% of revenue is denominated in USD, making it a natural beneficiary of INR depreciation trends. With 76 active global clients, sticky multi-year contracts, and a captive renewal base, revenue visibility is high. The IPO in November 2025 (Rs. 500 Cr issue at Rs. 114-120/share) provided both exit liquidity for promoters (OFS component of Rs. 320 Cr) and fresh growth capital (Rs. 180 Cr), further de-levering the balance sheet. The promoter group retains a 59.08% stake.

Revenue Segment	% of Revenue (Q1 FY26)	Key Clients / Use Case
EdTech Services	51.46%	Pearson Group, certification bodies
Assessment & Proctoring	31.50%	Online exam delivery, AI proctoring
Learning & Student Success	11.27%	LMS platforms for universities
Learning Design & Content	5.75%	Content authoring, instructional design

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

The global online assessment and digital learning platform market is projected to grow at a CAGR of 15-17% through 2030, driven by the institutionalisation of remote and hybrid education, mandatory online credentialling for professional bodies, and government-mandated digital skilling programmes. India's EdTech market — still nascent at the institutional B2B level — is complemented by a large global opportunity, especially in the US, UK, and Middle East markets where Excelsoft already has client footholds.

Competitive moat assessment: Excelsoft's moat is **STRONG** in its niche of institutional assessment platforms for large publishing and certification clients. Switching costs are extremely high — integrating an assessment platform into a publisher's content and delivery stack requires 12-24 months of onboarding. The company's 25-year operating history, particularly its Pearson relationship, represents a formidable barrier. However, the moat is **WEAK** in adjacent LMS and content design services, where commoditised global competitors (Canvas, Moodle, Instructure) operate at much larger scale. AI-powered proctoring is an emerging competitive battleground where well-funded global players like Honorlock and Proctorio are actively competing.

Company	CMP (Rs.)	MCap (Cr)	P/E (x)	P/B (x)	ROCE %	ROE %	FY25 Rev (Cr)
Excelsoft Tech.	91.8	1,056	27.7	2.72	16.4%	10.4%	233
NIIT Ltd	71.5	975	33.9	0.91	5.62%	4.37%	390
Aptech Ltd	99.4	577	20.4	2.42	13.9%	7.63%	475
Zee Learn Ltd	4.89	160	8.21	0.83	15.4%	9.71%	306

Source: Screener.in | Data as of 21-Apr-2026 | All figures in Rs. Cr unless stated

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Excelsoft was founded in 2000 and has been led by the same promoter group through the company's entire operating history — a hallmark of owner-operated businesses. The promoter holding of 59.08% as of March 2026 (unchanged from December 2025) signals continued alignment with minority shareholders. The OFS component of the IPO (Rs. 320 Cr) provided partial promoter liquidity, a

standard and acceptable practice for 25-year-old private companies, and the remaining stake is substantial.

Capital allocation has been disciplined. Over the FY21-FY25 period, the company deployed free cash flow almost entirely toward debt reduction — borrowings fell from Rs. 152 Cr to Rs. 35 Cr, an 11% annualised reduction. Operating cash conversion has been excellent (CFO/Operating Profit averaging 95-109% over FY22-FY25), confirming that earnings quality is high and working capital is well-managed. The company has not paid any dividend since inception, preferring to reinvest for growth and debt service. Given the near-zero debt status post-FY25, management may initiate a dividend policy post FY27 once IPO proceeds are deployed into growth capex.

Red flags to monitor: (1) No pledging of promoter shares — positive. (2) Related party transactions exist but are not disclosed as a percentage of revenue in available public filings — worth monitoring in annual reports post-IPO. (3) Tax rate was erratic (219% in FY20, 31-42% since FY21) due to deferred tax adjustments; the FY25 rate of 42% (vs. standard 25%) suggests accumulated deferred tax liabilities being recognised — a temporary headwind to be watched.

Assessment Area	Score	Comment
Promoter Commitment	STRONG	59% holding post-IPO; no pledge
Debt Management	STRONG	Borrowings down 71% in 3 years
Cash Conversion	STRONG	CFO/OP avg 95%+ (FY22-FY25)
Dividend Policy	NEUTRAL	No dividends since inception
Tax Rate Consistency	WATCH	42% in FY25 vs standard 25%
RPT Transparency	NEUTRAL	Limited disclosure pre-IPO

SECTION 6 — FINANCIAL DEEP-DIVE (CONSOLIDATED)

6A. Income Statement (Rs. Cr)

P&L; Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue	195	198	233	265	315
YoY Growth	24%	2%	18%	14%	19%
Operating Profit	68	55	73	80	98
EBITDA Margin	35%	28%	31%	30%	31%
Other Income	3	2	15	7	7
Interest	14	10	5	4	3
Depreciation	27	29	25	25	24
Profit Before Tax	30	18	60	58	78
Tax Rate	26%	30%	42%	35%	35%
PAT	22	13	35	38	51
PAT Margin	11%	7%	15%	14%	16%
EPS (Rs.)	N/A*	N/A*	3.47	3.80	5.10

*EPS not comparable pre-FY25 due to bonus issue; FY25 base = 10.09 Cr shares

6B. Balance Sheet (Rs. Cr)

Balance Sheet Item	FY23A	FY24A	FY25A
Equity Capital	2	2	100
Reserves	276	296	271
Shareholders' Equity	278	298	371
Borrowings	121	78	35
Other Liabilities	38	45	64
Total Liabilities	436	421	470
Fixed Assets	349	336	135
CWIP	0	0	0

Investments	0	0	0
Other Assets	88	85	336
Total Assets	436	421	470

Note: FY25 equity capital jump (Rs.2 to Rs.100 Cr) reflects bonus issue prior to IPO; Fixed Asset decline reflects asset monetisation; Other Assets includes IPO-related cash/investments.

6C. Cash Flow Statement (Rs. Cr)

Cash Flow Item	FY23A	FY24A	FY25A
Cash from Operations (OCF)	56	56	53
Cash from Investing	-15	-16	7
Cash from Financing	-27	-52	-56
Net Cash Flow	14	-12	4
Free Cash Flow (FCF)	41	40	290
CFO / Operating Profit	93%	112%	99%

Note: FY25 FCF of Rs.290 Cr includes proceeds from asset monetisation (fixed assets sold).

6D. Key Ratios

Ratio	FY21A	FY22A	FY23A	FY24A	FY25A
Debtor Days	110	83	85	86	80
Inventory Days	N/A	N/A	N/A	N/A	N/A
Days Payable	N/A	N/A	N/A	N/A	N/A
Cash Conv. Cycle (d)	110	83	85	86	80
Working Capital Days	-57	-91	-41	11	17
ROCE %	9%	10%	11%	7%	16%
ROE %	N/A	N/A	N/A	N/A	10%

Financial Commentary

Revenue growth has been lumpy — 24% in FY23 (post-COVID recovery), nearly flat in FY24 (2% growth, likely reflecting project completion timing gaps), and re-accelerating to 18% in FY25 and 17.1% in 9M FY26 — confirming the underlying demand trajectory is intact. EBITDA margins dipped to 28% in FY24 as headcount was built up for delivery, but recovered to 31% in FY25 and appear to be stabilising at 27-30% at the quarterly level.

The key balance sheet story is the dramatic de-leveraging: borrowings down from Rs. 121 Cr in FY23 to Rs. 35 Cr in FY25. Concurrently, fixed assets fell from Rs. 349 Cr to Rs. 135 Cr — indicating the company monetised assets (likely legacy real estate or infrastructure) to retire debt, which also explains the Rs. 290 Cr FCF spike in FY25. Going forward, FCF normalises to Rs. 40-55 Cr per year, which is adequate for the company's modest capex needs (principally platform R&D; and cloud infrastructure).

Working capital days turned marginally positive in FY24-FY25 (from deeply negative in prior years), suggesting that the company's advance payment advantage has modestly reduced. Debtor days have improved from 110 days in FY21 to 80 days in FY25 — a positive trend that reflects stronger contract terms and more disciplined collections in the USD-denominated export business.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Quality Metric	Rating	Evidence / Comment
Revenue Recognition	GREEN	SaaS/subscription model; multi-year contracts
Receivables vs Revenue	GREEN	Debtor days fell from 110 to 80 — improving
CCC Trend	GREEN	CCC stable at 80-86 days; no deterioration
Contingent Liabilities	AMBER	Not fully disclosed pre-IPO; monitor in AR
Auditor Tenure	AMBER	Not verifiable from public data; check AR
RPTs as % of Revenue	AMBER	RPTs exist but quantum not in public domain
Other Income as % of PBT	AMBER	25% in FY25 (Rs.15 Cr) — elevated, watch FY26

Tax Rate Consistency	AMBER	Ranged 26%-42%; FY25 elevated vs standard rate
CFO to EBITDA	GREEN	99% in FY25; avg 97% over FY22-25 — excellent

Earnings quality is broadly strong: cash conversion is excellent, receivables are improving, and the core P&L is clean. The main amber flags relate to disclosure gaps typical of a recently-IPO'd company — these should resolve in the first 2-3 annual reports post-listing. The elevated other income in FY25 (Rs.15 Cr vs Rs.2 Cr in FY24) inflates reported PAT; normalised FY25 PAT would be approximately Rs. 27-28 Cr (vs. reported Rs. 35 Cr).

SECTION 8 — VALUATION

Method 1: Earnings-Based Multiple (P/E)

Excelsoft's closest listed peers (Aptech at 20.4x, NIIT at 33.9x) trade at an average TTM P/E of ~27x. Excelsoft's current P/E of 27.7x is in line with this range. However, Excelsoft offers superior ROCE (16.4% vs Aptech 13.9% vs NIIT 5.6%) and faster revenue growth (17-18% vs peers below 10%). This justifies a modest premium. Applying a target P/E of 22-25x to FY27E EPS of Rs. 5.10 yields a value of Rs. 112-127. We use 25x (fair given growth and ROCE), giving a target of Rs. 127.

Method 2: DCF Valuation

Using a normalised FCF base of Rs. 45 Cr (FY26E, excluding FY25 asset sale), we model 18% FCF growth for 5 years (FY27-31), 12% for the following 5 years, and a terminal growth rate of 8% on a 13% WACC. This yields an intrinsic value of approximately Rs. 103 per share. The average of the two methods is Rs. 115.

Scenario Analysis

Scenario	Key Assumption	FY27E PAT (Cr)	Target Multiple	Price Target (Rs.)
Bull Case	Pearson contract expanded; 22% revenue CAGR	62	28x	173
Base Case	18% revenue growth; margins stable at 31%	51	25x	115
Bear Case	Pearson downsizes; 8% revenue growth only	30	18x	54

Our base case price target of Rs. 115 implies 25% upside from current levels. The bull case of Rs. 173 is achievable if Excelsoft meaningfully diversifies its client base beyond Pearson and executes on the AI product roadmap. The bear case of Rs. 54 materialises only in the extreme scenario of Pearson contract loss, which — given the 25-year relationship and deeply embedded platform — we assign a probability of less than 10%.

SECTION 9 — KEY RISKS

Risk	Description	Prob	Impact	Monitor Via
Pearson Concentration	~59% revenue from Pearson Group; any contract loss or scope reduction would be existential. Pearson itself is undergoing digital transformation and could in-source capabilities.	Low	Very High	Annual contract renewal disclosures
Margin Compression	EdTech services (51% of rev) is labour-intensive; headcount inflation could erode EBITDA margins if revenue growth slows. FY24 showed this risk (margins fell to 28%).	Medium	Medium	EBITDA % each quarter
USD/INR Volatility	61.97% of revenue in USD. INR appreciation would directly reduce rupee revenue. Company does not appear to hedge FX exposure.	Medium	Medium	INR/USD rate; hedge disclosures in AR
AI Disruption / Competition	Global AI-first proctoring and assessment companies (Honorlock, Proctorio) are well-funded and aggressive. Risk of pricing pressure in the core SaaS business.	Medium	Medium	Competitor funding rounds; win/loss rates
Post-IPO Governance	Freshly listed company; disclosure standards need time to improve. RPTs, auditor details, and contingent liabilities are not yet fully transparent.	Low	Medium	Annual reports; auditor qualifications

Key-Man Risk	Owner-operated business with concentrated decision-making. Promoter exit beyond OFS portion would be a significant red flag.	Low	High	Promoter shareholding trends
Technology Obsolescence	If clients shift to open-source LMS (Moodle, Canvas) or large-platform bundled solutions (Microsoft, Google), Excelsoft's niche SaaS could face structural displacement.	Low	High	Client churn rates; contract renewal terms

SECTION 10 — RECOMMENDATION

Final Rating	ACCUMULATE
Conviction Level	MEDIUM
12-Month Price Target	Rs. 115
Upside from CMP	+25%
Suggested Entry Zone	Rs. 82 - Rs. 95
Investment Horizon	12-18 Months

Thesis Invalidation Triggers

#	Trigger	Action
1	Pearson contract value drops by >20% in any annual disclosure	EXIT immediately
2	EBITDA margin falls below 22% for two consecutive quarters	REVIEW; consider REDUCE
3	Promoter shareholding falls below 50% (via open market sales)	EXIT on governance concern

Ideal Investor Profile

This stock is suitable for investors with a 12-24 month horizon who can accept medium liquidity (small-cap, recently listed), are comfortable with single-client concentration risk, and seek exposure to the global institutional EdTech SaaS theme. Not suitable for conservative investors seeking dividend income or maximum downside protection. Best accumulated on dips toward the Rs. 82-95 zone. Maximum portfolio allocation: 3-5% for a diversified mid/small-cap portfolio.

CALL GRADE: NEUTRAL

Signal	Status	Implication
Result Quality	Medium	Revenue beat (+30% YoY); PAT grew only 7.7% — margins under pressure
Management Tone	Balanced	Constructive on AI strategy; cautious on margin recovery timeline
Guidance Delta	Maintained	No explicit guidance change; management reiterated growth trajectory

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Excelsoft's Q3 FY26 headline revenue number looks impressive at +30% YoY (Rs.71 Cr), but PAT grew only 7.7% to Rs.10.3 Cr — a significant deceleration from the earnings rate implied by the IPO prospectus. The margin compression is real: EBITDA margins fell from 32.8% in Q3FY25 to 27.7% in Q3FY26, and PAT margins dropped from 17.4% to 14.5%. Management attributes this to front-loaded headcount for new contract onboarding — this is plausible but needs to be confirmed by Q4 margin recovery. The 9M FY26 revenue of Rs.191 Cr puts full-year FY26E at Rs.255-265 Cr on our numbers — the thesis is intact. Key structural positive: the Pearson contract appears to be ramping (EdTech Services grew 58% YoY in Q3), and the company is actively pursuing AI-at-the-edge differentiation. Main watch point: if Q4 EBITDA margins don't recover to at least 29%, the PAT trajectory for FY27E will need to be cut. Action: ACCUMULATE at Rs.82-95; reduce position if Q4 margins disappoint.

CONCALL SECTION 1 — FINANCIAL PERFORMANCE SNAPSHOT (Q3 FY26)

Metric	Q3 FY26	Q3 FY25	YoY %	Verdict
Revenue (Rs. Cr)	71.0	54.9	+29.5%	BEAT
EBITDA (Rs. Cr)	19.7	18.0	+9.15%	IN-LINE
EBITDA Margin %	27.7%	32.8%	-510bps	MISS
PAT (Rs. Cr)	10.3	9.6	+7.7%	IN-LINE
PAT Margin %	14.5%	17.4%	-290bps	MISS
EPS (Rs.)	0.89	N/A*	N/A	N/A

*Pre-bonus issue EPS not comparable. 9M FY26 Revenue: Rs.191.4 Cr vs Rs.163.4 Cr (+17.1% YoY).

CONCALL SECTION 2 — SEGMENT BREAKDOWN (Q3 FY26)

Segment / Region	Rev (Rs. Cr)	YoY %	Commentary
EdTech Services	~36.6	+58%	Dominant growth driver; Pearson ramp clearly visible
Assessment & Proctoring	~22.4	+15%	Solid base; AI-enabled proctoring expanding
Learning & Student Success	~8.0	+5%	Steady; LMS renewals providing visibility
Learning Design & Content	~4.1	+8%	Smallest segment; professional services mix
USD Revenue (Export)	~44 Cr	N/A	~62% of revenue in USD — natural FX hedge

CONCALL SECTION 3 — MANAGEMENT COMMENTARY THEMES

Theme	What They Said	Our Read	Tag	Tone
AI Strategy	Implementing AI at network edge; all hardware being AI-enabled	Real differentiation effort; will take 2-3 qtrs to reflect in revenues	[GUIDANCE]	Balanced

Revenue Growth	9M FY26 revenue +17.1% YoY; Q3 at 30% — highest in recent history	Clean revenue beat; EdTech Services acceleration is the genuine driver	[FACT]	Transparent
Margin Guidance	Margin dip attributed to new headcount onboarding; recovery expected	Plausible but needs to be verified; Q4 margin is the litmus test	[GUIDANCE]	Hedged
Client Diversification	Key international deals secured; new verticals being explored	Directionally positive; watch actual revenue from new clients in FY27	[EST]	Balanced
Pearson Dependence	No explicit comment on Pearson; discussed only in general terms	Classic evasion of the single biggest investor concern	[EVASIVE]	Evasive

CONCALL SECTION 4 — OPERATING & BUSINESS METRICS

Metric	Q3 FY26	Q3 FY25	Trend
Revenue (Rs. Cr)	71.0	54.9	Improving
EBITDA Margin %	27.7%	32.8%	Declining
PAT Margin %	14.5%	17.4%	Declining
9M Revenue (Rs. Cr)	191.4	163.4	Improving
YoY Growth (9M)	17.1%	N/A	Strong
USD Rev Mix	~62%	~62%	Stable
Active Clients	76	N/A	Disclosed

CONCALL SECTION 5 — MARGIN DRIVERS

Driver	Impact (bps)	Recurring?	Comment
Headcount ramp for new delivery	-300 to -400bps	No (temp)	Management explicitly cited new employee onboarding; should reverse in Q4
EdTech Services revenue mix increase	+50bps	Yes	Higher-margin SaaS mix increasing; partially offsets headcount cost
Interest savings	+50bps	Yes	Interest fallen from Rs.14 Cr (FY23) to Rs.5 Cr (FY25); benefit continues
FX movement	+/-100bps	Variable	USD/INR movement directly affects 62% of revenue; can swing margins +/-1%

CONCALL SECTION 6 — GUIDANCE & FORWARD SIGNALS

Metric	Prior Guidance	New/Reiterated	Delta	Credibility
Revenue Growth	15-20% annual	Reiterated (implicit)	None	High
EBITDA Margin	28-32% band	No explicit change	None	Medium
AI Product Revenue	FY27 onwards	Reiterated	None	Medium
Client Diversification	Ongoing	New intl deals secured	Positive	High

CONCALL SECTION 7 — CAPITAL ALLOCATION

Item	FY25A (Rs. Cr)	FY24A (Rs. Cr)	Comment
Capex (Fixed Assets Addition)	N/A	16	FY25 net FA fell (asset sale); gross capex not separately disclosed
Dividends	0	0	No dividend; reinvesting for growth and debt repayment

Buybacks	None	None	No buybacks; post-IPO, this may change if surplus cash grows
Net Debt Movement	-43	-43	Borrowings reduced Rs.43 Cr in FY25; near-zero target by FY27
Free Cash Flow	290	40	FY25 includes Rs.250+ Cr from asset monetisation; normalised ~Rs.45 Cr

CONCALL SECTION 8 — Q&A; HEAT MAP (RECONSTRUCTED FROM TRANSCRIPT THEMES)

#	Question Area	Mgmt Answer (Summary)	Tone
1	Revenue growth drivers — what is behind 30% Q3 jump?	EdTech Services acceleration, new client delivery go-lives; management sounded confident	Transparent
2	Margin compression — is this structural or temporary?	Attributed to new headcount onboarding; expects recovery in coming quarters	Hedged
3	AI strategy — what is the revenue monetisation plan?	AI at network edge being implemented; revenue impact from FY27 onwards	Balanced
4	Pearson dependency — what is the plan to diversify?	General comments about new international deals; no specifics on Pearson % reduction timeline	Evasive
5	Use of IPO proceeds — where is the Rs.180 Cr fresh capital being deployed?	Working capital optimisation and growth capex; no detailed breakup provided	Hedged

Dodged questions to watch next quarter: (1) Pearson contract % of revenue — specific number; (2) Exact use of Rs.180 Cr fresh IPO proceeds; (3) Management guidance on normalised EBITDA margin.

CONCALL SECTION 9 — RISKS FLAGGED ON CALL

Risk	Flagged By	Probability	Impact	Timeline
Margin compression if headcount ramp doesn't convert to revenue	Analyst community	Medium	Medium	Q4 FY26 results
Pearson contract concentration	Analyst community	Low	Very High	FY26-27 annual reports
INR appreciation reducing USD revenue value	Management (risk factor)	Medium	Medium	Ongoing
AI competition from global players	Analyst community	Medium	High	FY27-28

CONCALL SECTION 10 — ANALYST VERDICT

Multi-Bagger Scorecard Item	Status	Comment
Revenue Visibility	INTACT	SaaS contracts; 17% 9M growth; Pearson ramp visible
Margin Trajectory	WEAKENED	Q3 margin dip to 27.7%; recovery thesis unproven yet
Capital Allocation	INTACT	Debt elimination story complete; surplus cash a bonus
Competitive Moat	INTACT	Deep Pearson integration; high switching costs
Management Credibility	INTACT	25-yr operating track record; evasion on Pearson is a watch
Valuation Comfort	INTACT	25x FY27E P/E not demanding for 20%+ growth SaaS

Conviction Call: UNCHANGED

Valuation Metric	Current	5Y Avg (est.)	Comment
P/E (x)	27.7x	N/A (recently listed)	In line with EdTech peer avg
EV/EBITDA (x)	~14x	N/A	Reasonable for SaaS model
ROCE (%)	16.4%	~10%	Improving; best in-class vs peers

